RNIT AI Solutions Ltd

Concall tracker · filed under Q2-2027 · 11 Nov 2026

1. Snapshot

RNIT AI Solutions (formerly Autopal Industries) is a Hyderabad-based software company that sells AI facial-recognition attendance and identity checks, dashboards and other e-governance platforms, mostly to state government departments such as school and higher education, social and tribal welfare, skill development and panchayats. It earns through pay-per-use SaaS, long government contracts and maintenance. It was relisted on the BSE main board on 24 Oct 2025 after an NCLT amalgamation.

- Market cap about Rs 755 cr at a P/E of about 56: the market is paying a lot for expected growth.
- FY26 revenue Rs 51.5 cr, up 59.8%; EBITDA Rs 21.5 cr (margin 41.7%); PAT Rs 12.0 cr (company presentation): fast growth with fat margins.
- Q2 FY27 sales Rs 16.4 cr vs Rs 13.7 cr a year ago (up about 20%), net profit Rs 4.24 cr vs Rs 3.25 cr (Screener): growth has slowed from last year's pace.
- Operating margin about 41% in Q2 FY27: still very high for an IT services firm.
- Promoter holding fell from 73.74% (Sep 2025) to 63.24% (Sep 2026), mainly after a Rs 26.33 cr preferential share issue to public-category investors on 28 Mar 2026: more shares, owners diluted.
- Interest cost rose to about Rs 0.73 cr in Q2 from Rs 0.22 cr a year ago: some borrowing has come in.

2. Concall coverage

No concall transcripts were available on Screener. This report is based on a global web deep-dive: the company's investor presentations (Nov 2025 for Q2 FY26 and May 2026 for Q4 FY26), its BSE filings for Q2 FY27 (results outcome of 29 Oct 2026, fund-use statement), Screener financials and news reports on its orders. The company says it has held no analyst or institutional investor meet.

Quarter / call	Date	Transcript read?
Q2 FY26 investor presentation	10 Nov 2025	Read (no concall)
Q4 FY26 investor presentation	3 May 2026	Read (no concall)
Q2 FY27 results and fund-use statement (BSE)	29 Oct 2026	Read (no concall)
News: Telangana FRS work orders	Mar 2026	Read

2b. Latest update highlights: Q2 FY27 filings (Oct 2026)

- Q2 FY27 sales up about 20% and net profit up about 30% year on year (Screener; board approved results on 29 Oct 2026).
- Funds from the Rs 26.33 cr preferential issue: the audit committee reported no deviation in their use for the September quarter.
- No new order announcement tied to the September quarter was found. The latest big wins named are Telangana higher-education FRS attendance (work orders, three-year rollout, Mar 2026), Goa panchayat staff, Lakshadweep education and a paid Meghalaya pilot.
- No guidance has been given in any public document read.

2c. Business mix & capacity

- Domestic vs export: all work named is for Indian state governments and corporates; no export split disclosed.
- Capacity utilisation: not applicable (software). Scale marker: over 15 million facial identifications a day and 3 billion+ to date (Nov 2025 presentation).

3. Earning trigger thesis

The case is government departments moving attendance and beneficiary checks onto RNIT's facial-recognition platform, paid per use, with each new state or department adding recurring revenue. FY26 shows it working: sales up about 60% and margins widening as the platform scaled. But it's a small company leaning on a few state governments, with no calls, no guidance, and growth that slowed to about a fifth in the latest quarter.

Trigger	What management said	Evidence so far	Time horizon	Strength
New state and department orders for FRS	Entry into new regions (Goa, Lakshadweep, Meghalaya) and Telangana higher education	FY26 revenue up about 60%; Q2 FY27 up about 20%	FY27	Moderate: real wins, slowing growth
Conversational AI (Nia) and skilling platforms	Generative AI monetisation opportunity	Andhra Pradesh skill development platform named; revenue not split out	Unclear	Unproven

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	No statement; interest cost has risen
New business	Yes	Entry into 'new regions and domains' with orders from Goa, Lakshadweep and Meghalaya (Q4 FY26 presentation, May 2026)
Margin up	Yes	FY26 EBITDA margin 41.7% vs 31.9%, 'strong operating leverage' (Q4 FY26 presentation)
New management	No	No change disclosed
New capacity	No	Not applicable
Big orders	Yes	Multiple work orders from Telangana Technology Services for FRS attendance across higher education (Mar 2026, three-year execution)
Turnaround	No	Not applicable
Promoter buying	No	Promoter stake fell; preferential issue went to public-category investors

Single concrete driver: More state government departments are rolling out RNIT's facial-recognition attendance platform, paid per use, which lifted FY26 sales and margins sharply.

3c. Margin bridge

EBITDA margin rose to 41.7% in FY26 from 31.9% in FY25, which the company puts down to operating leverage as usage grew on the same platform. Q2 FY27 operating margin was about 41%, holding that level. (lasting)

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Nov 2025 presentation	Complete NCLT amalgamation and BSE main board relisting	Relisted 24 Oct 2025; NCLT process completed	Delivered
May 2026 presentation	Use preferential issue money to accelerate growth	No deviation in fund use reported (Oct 2026)	Too early
May 2026 presentation	Expand deployment footprint into new regions	Goa, Lakshadweep, Meghalaya wins; none new found for Q2 FY27	Partly

Too little public history to judge drift: the company only relisted in October 2025, holds no calls and gives no numbers to hold it to. The message across both presentations has been the same, AI-led e-governance for state departments. Dilution of the promoter stake is worth watching.

5. Bottom line

Durable earning trigger? → MAYBE

The facial-recognition business is real and growing with high margins, and new states were added in FY26. But growth slowed to about a fifth in Q2 FY27, the customer base is a handful of state governments, and nothing new was announced for the quarter.

Management consistent? → MAYBE

What it said it would do (relisting, NCLT completion, new regions) happened. But there are no calls, no guidance and no track record to score, so consistency can't be called a yes.

6. Checkpoints for next quarter

- Second-half sales come in above the first half's
- A new state or department FRS order is announced
- Operating margin stays near the September quarter's level

Sources: RNIT AI Solutions investor presentations (10 Nov 2025, 3 May 2026); BSE filings of 29 Oct 2026 (results outcome, fund-use statement); Screener.in (517286 / AUTOPALIND) financials; news on Telangana FRS orders (whalesbook.com, Mar 2026) and Q2 FY27 results (univest.in). This is not investment advice. Do your own due diligence.